T.Y. B.TECH (CE / IT / E&TC / AI&DS) • SEMESTER V

Fundamentals of Stock Market

Course Code: 2605MD12

Module 1 — Stock Market Structure & Financial Ecosystem

Practice Questions

1. Explain the structure of the Indian capital market, clearly distinguishing the primary market from the secondary market on at least six bases.

2. Describe the process of book building, explaining the role of the price band, the cut-off price and the ASBA facility.

3. Explain the role and functions of SEBI in the Indian securities market, covering its work in both the primary and secondary markets.

4. Trace the complete journey of a buy order from the moment an investor places it until the shares appear in the demat account, naming intermediaries involved.

5. Compare equity shares, preference shares and debentures on the basis of return, risk, control and order of repayment.

6. Analyse the effect of bonus and split on the share price of a company and on an investor's total wealth.

7. Evaluate why the primary and secondary markets are said to depend on each other, and judge whether one could survive without the other.

8. Differentiate between the primary market and the secondary market on at least four bases. Then classify each of the following situations as belonging to the primary or the secondary market, giving a one-line reason for each:

- **(a)** The Government of India sells a part of its holding in a PSU through an Offer for Sale (OFS).
- **(b)** An investor buys shares of Reliance Industries through the NSE.
- **(c)** A listed company issues fresh shares to existing shareholders through a rights issue.

9. An investor with a small amount of money wants exposure to India's top 50 companies. Explain how buying a single Exchange-Traded Fund (ETF) differs from buying the 50 individual shares separately, in terms of diversification, cost and risk exposure. Support your answer with a suitable example.

10. Distinguish between a demat account and a trading account by their purpose and function.